

Skill Supply Chain Reference Data

Project: SHG Digital Enablement Engine — Path A (Enablement) **Compiled:** September 2026 **Purpose:** Source data for `data/skills.py` and related `scheme/channel` matching logic

All figures reflect 2026 sources current at time of research. Treat cost ranges as indicative, not fixed — they vary by region, supplier, and exact operating scale. Where a single scheme name appears across skills (PMEGP, MUDRA, NHDP), see the separate government schemes reference document for verified eligibility details.

1. Handcrafted Design Work

- **Entry cost:** Under ₹75,000 for a beginner/home-based setup; scales up significantly for a dedicated manufacturing unit with machinery
- **Equipment:** Varies heavily by craft type — hand tools, carving tools, pottery wheels, basic finishing equipment; no universal equipment list since “handicraft” spans wood, clay, metal, textile, and fiber crafts
- **Raw material:** Wood, clay, fabric, metal, glass, bamboo, or natural fiber — sourced locally or from craft-specific wholesalers depending on the specific item being made
- **Production process:** Design development → material selection → shaping/carving/molding → detailing → finishing (may include painting, embroidery, or polishing)
- **Margins:** 30–50% on well-positioned products — notably high relative to raw material cost, since value comes primarily from skilled labor and authenticity rather than material cost
- **Regulatory:** GST registration mandatory above ₹40 lakh annual turnover; Udyam (MSME) registration is what actually unlocks scheme eligibility, institutional credit, and formal export channel access
- **Design note:** This is the broadest of the 10 categories — genuinely wide variance in cost/equipment depending on the specific craft. Consider splitting into sub-categories (e.g., textile craft vs. wood/metal craft) as the model matures.

Sources:

- Shriram Finance — Complete Guide to Starting a Handicraft Business — <https://www.shriramfinance.in/articles/business-loan/2026/how-to-start-handicraft-business-in-india>
 - IMARC Group — Handicraft Manufacturing Plant Cost, Setup, DPR 2026 — <https://www.imarcgroup.com/handicraft-manufacturing-plant-project-report>
 - IndiMarketer — 12 Best Handicraft Business Ideas 2026 — <https://indimarketer.com/handicraft-business-ideas/>
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2. Pickle & Preserve Making

- **Entry cost:** ₹20,000–50,000 for home-based setup; up to ₹1.5 lakh for a slightly larger operation with more equipment
- **Equipment:** Stainless steel containers, weighing scale, cutting tools, grinder, heat sealing machine, airtight storage jars
- **Raw material:** Seasonal — raw mango is bought and processed in bulk during March–June, the mango season
- **Production cycle:** Cut and dry vegetables/fruits (moisture removal is critical for shelf life) → mix with spices, salt, oil → allow several days to mature and develop flavor
- **Storage:** Shelf life of 12–24 months once properly processed — a major operational advantage: heavy seasonal production supports steady year-round sales without needing continuous raw material access
- **Government support:** PM-FME (PM Formalisation of Micro Food Processing Enterprises) scheme offers a 35% credit-linked subsidy specifically for pickle, papad, and snack micro-processing units
- **Regulatory:** FSSAI registration required to sell commercially
- **Design note:** The seasonal-buy/year-round-sell model is a genuine structural advantage this skill has over more perishable options like mushroom or dairy.

Sources:

- MUVSI — Pickle & Snack Food Processing Business Guide — <https://muvsai.in/pickle-manufacturing-business/>
- VyaparGrow — How to Start Pickle Business in India — <https://www.vyapargrow.com/pickle-business-india/>
- Franchise India — Chutney and Pickle Business Guide — <https://www.franchiseindia.com/insights/en/article/how-to-start-a-chutney-and-pickle-business-in-india.57991>

3. Tailoring & Stitching

- **Entry cost:** ₹30,000–60,000 for a single sewing machine setup; ₹1.5–5 lakh for a small multi-machine tailoring shop
- **Equipment:** Single-needle lockstitch machine with direct-drive motor is the recommended beginner machine; an overlock machine is typically added next to finish fabric edges
- **Raw material:** Fabric, thread, buttons, and trims — sourced from the nearest wholesale fabric market, often with a small trial order first to test supplier quality
- **Production process:** Highly variable by garment complexity — ranges from simple alterations to full garment construction
- **Demand pattern:** Steady year-round baseline demand, with sharp spikes around festivals and wedding season
- **Regulatory:** GST registration, trade license, and Udyam (MSME) registration needed to formalize and scale beyond solo/home-based work
- **Design note:** Among the lowest entry barriers and most geographically

universal demand of all 10 skills — nearly every locality needs tailoring services.

Sources:

- Murthy Sewing Machines — Tailoring Business with One Sewing Machine — <https://murthysewingmachines.com/blog/how-to-start-a-small-tailoring-business-in-india-with-just-one-sewing-machine/>
 - MUVSI — Garment Manufacturing Business Guide — <https://muvsin.in/garment-manufacturing-business/>
 - RegisterKaro — Garment Tailor Business in India — <https://www.registerkaro.in/post/how-to-start-garment-tailor-business-in-india>
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4. Dairy Processing

- **Entry cost:** Highly scale-dependent — a proper small dairy processing plant runs ₹10–20 lakh, but individual paneer/ghee production at home scale can start much lower with basic equipment
- **Equipment:** Milk boiler, paneer-making machine (coagulation tank), paneer press, paneer cutter, and cold storage are the core essentials
- **Raw material cost:** Milk is 60–70% of total operating cost — by far the dominant expense, more than equipment or labor
- **Sourcing strategy:** Direct sourcing from farmers or state dairy cooperatives (avoiding middlemen) is the single biggest margin lever; proximity to a milk collection center also reduces transit time and preserves fat content, directly affecting paneer yield
- **Perishability:** Milk is highly perishable — an excellent medium for microorganism growth — making cooling and fast processing essential; pasteurization extends usable life and reduces pathogen risk
- **Government support:** PM Kisan Sampada Yojana offers capital subsidies of up to 35% on machinery
- **Regulatory:** FSSAI registration is mandatory — required before legally supplying to restaurants, shops, or institutional buyers
- **Margins:** Paneer and ghee typically achieve 20–40% margins
- **Design note:** The most infrastructure- and cold-chain-dependent skill of the 10 — genuinely harder to do without reliable storage than any other option here.

Sources:

- Mahesh Engineering Works — Paneer Manufacturing Business Guide — <https://maheshengworks.com/how-to-start-paneer-manufacturing-business-india/>
 - NIFTEM — Paneer Production Under PM-FME Scheme — <https://niftem.ac.in/newsite/pmfm/wp-content/uploads/2022/07/Paneer-Writeup.pdf>
 - Mahesh Engineering Works — Small Dairy Processing Plant 2026 — <https://maheshengworks.com/how-to-set-up-small-dairy-processing-plant-india-2026/>
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5. Handloom Weaving

- **Entry cost:** ₹15,000–40,000 for a manual table or pit loom at individual scale; ₹75,000 to several lakh for a small cluster/workshop setup
- **Raw material cost breakdown:** Yarn accounts for roughly 31% of total fabric cost, pre-loom wages 19%, weaving wages 27%, and aggregation/distribution 23%
- **Sourcing:** Most handloom weavers today use mill-spun yarn (as opposed to hand-spun yarn, which is specifically what defines Khadi/Khaddar products)
- **Production speed:** A skilled weaver produces 6–8 metres/day of plain cotton fabric, but output drops sharply to just 1–2 metres/day for complex patterned weaving
- **Structural note (important):** Handloom weaving is fundamentally a collaborative village activity, not a solo one — pre-loom techniques (bobbin winding, warping, sizing, dressing) are typically carried out by other specialists, not the weaver alone. One loom supports employment for roughly three additional people beyond the weaver through these pre-loom activities.
- **Government support:** National Handloom Development Programme (NHDP), PMEGP, and MUDRA loans are all applicable; the Handloom Mark certification scheme helps authenticate genuine handloom products against power-loom imitations
- **Design note:** The strongest case among all 10 skills for joint/cluster enterprise matching by default — the trade itself is not really a solo activity even at baseline.

Sources:

- Franchise India — How to Start a Handloom Business in India — <https://www.franchiseindia.com/insights/en/article/how-to-start-a-handloom-business-in-india.57861>
- Daughters of India — Handloom Weaving in India — <https://us.daughtersofindia.net/pages/handloom-weaving>
- Exotic India Art — A Journey into Handloom Weaving — <https://www.exoticindiaart.com/blog/a-journey-into-handloom-weaving/>

6. Beekeeping / Honey Production

- **Entry cost:** ₹20,000–75,000 for a small starter setup (10 hives); ₹2.2–2.5L for a more viable 50-colony unit (NABARD estimate)
- **Equipment:** Langstroth hives (~₹2,000–2,500 each), bee colonies with queen (~₹1,200–1,500 each), honey extractor (₹15,000–25,000), basic protective gear — smoker, veil, gloves (₹10,000–15,000), bottling setup (₹20,000–30,000)
- **Raw material:** No purchased raw material in the usual sense — bees forage naturally, but yield depends heavily on proximity to diverse flowering plants and a water source
- **Production cycle:** Seasonal, tied to local flowering cycles; one colony yields roughly 20–40 kg honey/year
- **Storage:** Honey has a long shelf life if processed correctly — genuinely different from most of the other, more perishable skills in this set

- **Government support:** National Beekeeping and Honey Mission (a ₹500 crore central scheme, extended through FY 2025-26) offers up to 40% equipment subsidy; KVIC's "Sweet Kranti" scheme also promotes beekeeping nationally
- **Training:** Recognized-institute training is considered essential before starting, more so than most other skills here, due to the technical/safety learning curve
- **Design note:** Meaningfully higher upfront cost than most of the other 9 skills — worth flagging in the data as a "higher barrier to entry" option.

Sources:

- Agro Potli — How to Start a Beekeeping Business in India 2026 — <https://agropotli.com/how-to-start-a-beekeeping-business-in-india-2026/>
- Entrepreneur India — Bee Farming Business Guide — <https://www.entrepreneurindia.co/blogs/bee-farming-business/>
- Godrej Capital — Beekeeping Business Guide — <https://www.godrejcapital.com/media-blog/knowledge-centre/beekeeping-business>

7. Poultry Rearing

- **Entry cost:** ₹50,000–2,00,000 for genuine backyard/small-scale rearing; formal small farms (500–1,000 birds) run ₹3.5–6 lakh
- **Equipment:** Feeders, drinkers, brooder/heater for chicks, basic shed structure — ₹20,000–40,000 for small scale
- **Raw material cost:** Feed is by far the largest recurring cost, accounting for 60–70% of total operating expenses — more significant than the one-time setup cost over time
- **Best-fit breeds for rural/SHG scale:** Hardy indigenous breeds — Kadaknath, Vanaraja, Gramapriya — suited to low-input, free-range rural systems, rather than commercial cage-based breeds
- **Risk factor:** Disease and biosecurity is the single biggest threat in this trade — one outbreak can wipe out an entire batch, making hygiene protocol non-negotiable
- **Lower-risk entry model:** Contract/integration farming — where a company supplies chicks and feed and buys back grown birds — sharply reduces working-capital risk and market risk, at the cost of a lower per-bird margin than fully independent farming
- **Government support:** National Livestock Mission offers 25% capital subsidy (general category) to 33–50% (SC/ST/women categories); NABARD's Poultry Venture Capital Fund is a second support channel
- **Design note:** Feed-cost dominance makes this skill's ongoing viability much more sensitive to local feed supply/pricing than most other options in the set.

Sources:

- Agro Potli — Layer Poultry Farming Guide 2026 — <https://agropotli.com/layer-poultry-farming-in-india-complete-guide-2026/>
- DMI Finance — Poultry Farming Business Guide — <https://www.dmifinance.in/poultry-farming-business-in-india/>

- Godrej Capital — Poultry Farm Business Plan — <https://www.godrejcapital.com/media-blog/knowledge-centre/starting-your-poultry-farm-business-plan-and-investment-tips>
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8. Mushroom Cultivation

- **Entry cost:** ₹10,000–50,000 for a home-based setup — the cheapest entry point of all 10 skills
- **Raw material:** Spawn costs ₹70–120/kg, available through ICAR, Krishi Vigyan Kendras (KVKs), or private suppliers; substrate (straw, sawdust) is often available cheaply or entirely free as agricultural waste, especially near paddy/wheat farming areas
- **Space needed:** Very small — a 200–300 sq ft room is sufficient, no land required
- **Production cycle:** Fast — oyster mushrooms are ready in just 20–45 days, allowing multiple harvest cycles per year, a notably faster turnaround than any other skill in this set
- **Storage — critical constraint:** Fresh mushrooms spoil within just a few days. A buyer must be secured before harvest, or the product needs to be dried — which also roughly doubles the achievable price per kg (fresh ₹90–250/kg vs. dried ₹500–700/kg)
- **Government support:** NABARD and state horticulture departments offer subsidies of up to 50% for mushroom cultivation units
- **Design note:** Best beginner variety is oyster mushroom specifically — lowest barrier to entry, tolerant of ambient humidity in many regions, doesn't require cold storage.

Sources:

- Bajaj Finserv — How to Start Mushroom Farming Business — <https://www.bajajfinserv.in/how-to-start-mushroom-farming-business>
 - Sanctity Ferme — Mushroom Farming in India — <https://sanctityferme.com/blog/mushroom-farming-india-farmland-plot>
 - Agro Potli — Mushroom Farming Business Plan 2026 — <https://agropotli.com/mushroom-farming-business-plan-in-india-2026/>
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9. Soap Making

- **Entry cost:** ₹14,000–41,000 for a home-based setup (India-specific)
- **Raw material:** Oils/fats plus lye (sodium hydroxide) for cold-process soap, which gives full ingredient control; alternatively, a pre-made melt-and-pour base avoids handling lye entirely, making it the safer/easier option for a true beginner
- **Production process:** Combine oils/fats with alkali (saponification) → set/cure → cut → package; cold-process requires a curing period, melt-and-pour does not
- **Regulatory (important):** Soap is regulated as a cosmetic under India's Drugs and Cosmetics Act, 1940 — a real compliance consideration, not just a

production detail

- **Typical retail price:** ₹150-600 per bar depending on positioning and ingredients
- **Sales channel fit:** Strong natural fit for Instagram, WhatsApp, and online marketplace selling — the most digitally-native of the 10 skills in terms of typical customer acquisition
- **Design note:** Among the lowest-equipment-cost options in the set, with a clear “safe beginner path” (melt-and-pour) built into the trade itself.

Sources:

- IIFL — How to Start a Handmade Organic Soap Business — <https://www.iifl.com/blogs/gold-loan/how-to-start-a-handmade-organic-soap-business>
- Jindeal Inc — Soap Business Startup Guide — <https://jindeal.com/soap-business-startup-guide-2/>

10. Agarbatti (Incense Stick) Making

- **Entry cost:** ₹50,000-1,00,000 for a home-based setup
- **Raw material:** Bamboo sticks (~₹120/kg), charcoal powder, jigat powder (a natural binding agent), and fragrance/essential oils
- **Production process:** Mix raw materials into a paste → roll the paste onto bamboo sticks (by hand or with a semi-automatic rolling machine) → dry → scent → package
- **Demand pattern:** Steady, high year-round baseline demand (daily religious/household use) with sharp additional spikes around festivals
- **Market scale:** India produces over 85% of the world’s incense sticks, with a domestic market worth roughly ₹10,000 crore — a genuinely large, established industry, not a niche craft
- **Margins:** 15-25% typically cited for small-scale operations
- **Design note:** Very low barrier to entry with equipment that can double as manual (rolling by hand) or semi-mechanized (rolling machine), giving a natural low-to-medium investment scaling path within the same trade.

Sources:

- Tata Capital — Agarbatti Manufacturing Business Plan — <https://www.tatacapital.com/business-loan/agarbatti-business-plan.html>
- Aditya Birla Capital — Agarbatti Making Business Guide — <https://www.adityabirlacapital.com/abc-of-money/agarbatti-making-business>
- SAAR Consult — The Business of Agarbatti Making — <https://saarconsult.in/the-business-of-agarbatti-making-a-profitable-small-scale-opportunity/>

Cross-skill summary table

Skill	Entry Cost	Biggest Cost Driver	Production Cycle	Perishability Risk

Handcrafted Design	<₹75,000	Skilled labor	Variable	Low
Pickle & Preserve	₹20,000–50,000	Seasonal raw material	Days to mature	Low (12–24mo shelf life)
Tailoring & Stitching	₹30,000–60,000	Fabric	Per order	None
Dairy Processing	Scale-dependent	Milk (60–70% of cost)	Daily	High
Handloom Weaving	₹15,000–40,000	Yarn (~31% of cost)	Days per piece	None
Beekeeping	₹20,000–75,000	Equipment (upfront)	Seasonal	Low (once processed)
Poultry Rearing	₹50,000–2,00,000	Feed (60–70% of cost)	Ongoing/daily	Disease risk
Mushroom Cultivation	₹10,000–50,000	Spawn (low cost)	20–45 days	Very high (days)
Soap Making	₹14,000–41,000	Oils/lye	Days (curing)	Low
Agarbatti Making	₹50,000–1,00,000	Bamboo + fragrance	Days (drying)	Low